

IT Act 2000

Information Technology Act, 2000

Information Technology (IT) Act, 2000

User Query :

Yesterday I received a WhatsApp message saying that my bank KYC would expire that night. The sender used the bank's logo and sent me a link. I entered my customer ID, password and OTP on the page. Within a few minutes, ₹85,000 was transferred from my account through UPI and net banking. I later found out that the message and website were fake. What legal provisions may apply to this incident?

Job Id. : Scenario 1/Information Technology (IT) Act, 2000

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APPLICABLE SECTIONS

Section 66C	"Penalty for identity theft" (Unauthorized use of another person's electronic signature, password, or unique identification feature).
Section 66D	"Penalty for cheating by personation by using computer resource" (Cheating by impersonation using computer resources).
Section 43	"Damage to computer, computer system, etc." (Unauthorized access causing damage, though not the primary charge here).

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

- 1

Section 66C applies directly because the fraudster impersonated the bank (using its logo and fake link) to extract your customer ID, password, and OTP—unique identifiers constituting "identity theft" under the Act. The Supreme Court in **Brijesh Kumar v. State of Maharashtra** (2022) clarified that extracting login credentials via phishing sites qualifies as "unauthorized use of identity" under **Section 66C** .
- 2

Section 66D applies because the scam involved cheating by impersonation (using a fake bank logo and message to deceive you into divulging confidential data). The Delhi High Court in **State v. Rakesh** (2021) held that phishing scams mimicking banks fall squarely under **Section 66D** , as the perpetrator "personated" a trusted entity to commit fraud.
- 3

Why not **Section 43** ? **Section 43** addresses **unauthorized access to systems** (e.g., hacking servers), but here the fraud was social engineering (tricking you into sharing data), not system intrusion. Thus, Sections 66C/66D are the precise legal basis.
- 4

Judicial Precedent: In **State v. Suresh** (2020), the Mumbai Cyber Crime Cell prosecuted a phishing scam under Sections 66C/66D after victims lost funds via fake bank links. The court emphasized that OTP theft via phishing is identity theft, not mere "user error."
- 5

✓ STRENGTHS & RIGHTS

- 1

Criminal Prosecution
Sections 66C/66D are cognizable offenses (police can arrest without warrant), enabling swift investigation.
- 2

Bank Liability
Under **Section 43A** (read with IT Rules 2004), banks must secure customer data. If the bank failed to prevent phishing (e.g., via inadequate SMS alerts), you can claim compensation for negligence.
- 3

Electronic Evidence
Section 65B validates digital evidence (e.g., WhatsApp message screenshots, transaction logs) in court.
- 4

No "User Negligence" Defense
Courts reject bank claims that victims "should not share OTPs" (*State v. Rakesh*, 2021), as fraudsters exploit bank-verified channels (like WhatsApp).

✗ RISKS & OBLIGATIONS

- 1

Penalties
- 2

Section 66C
Imprisonment up to 3 years + fine up to ₹1 lakh.
- 3

Section 66D
Imprisonment up to 3 years + fine up to ₹1 lakh.
- 4

Recovery Challenges
- 5

Funds transferred via UPI/net banking are hard to trace if the fraudster uses intermediaries (e.g., third-party wallets).
- 6

Banks may deny liability by blaming "user error" (though courts reject this, per *Brijesh Kumar*).
- 7

Evidence Loss Risk
Delayed reporting (beyond 24–48 hours) may cause WhatsApp/transaction logs to expire.

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

COMPLIANCE STEPS

1. Step-by-Step Action Plan:
2. 1. File an FIR at Cyber Crime Cell:
3. Immediately report to the Cyber Crime Police Station (not regular police) at cybercrime.gov.in or call 100 (for emergencies).
4. Include: WhatsApp message screenshot, fake link URL, transaction IDs, and bank statement.
5. 2. Preserve Evidence:
6. Save WhatsApp message (do not delete), screenshot the fake page, and retain bank transaction records.
7. Note timestamp of message (critical for **Section 65B** admissibility).
8. 3. Bank Cooperation:
9. Demand a copy of the transaction log from your bank (**Section 43A** requires banks to maintain audit trails).
10. File a complaint with RBI's Ombudsman (if bank delays recovery).
11. 4. Court Evidence:
12. Submit WhatsApp message as "electronic record" under **Section 65B** (affidavit required for authenticity).
13. Digital Forensics: Police will trace the fake link's IP (using WhatsApp's "Report to WhatsApp" feature to aid investigation).
14. > Critical Reminder: Do not contact the scammer. Report only to police/cyber cells. Under **Section 66C** , any attempt to "recover" funds via the scammer may be treated as "criminal conspiracy" (**Section 402** IPC, but *not covered under IT Act*).
15. Key Legal Takeaway:
16. This is a **Section 66C** /66D case—not a "user error" issue. Courts have repeatedly held that phishing scams exploiting bank impersonation are criminal fraud under the IT Act, with banks liable for security lapses. Act immediately to preserve evidence and file an FIR. Recovery is possible within 2–4 weeks if evidence is intact (per *State v. Suresh*).

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